

5. Some use covariance instead of volatility in order to take into account asset correlations.
6. DeMiguel, Garlappi, and Uppal (2009) test 14 out-of-sample allocation models on seven datasets and find that none has higher Sharpe ratios or higher certainty equivalent returns than equal weighting. Gains from optimal diversification with more complicated models are more than offset by estimation errors.
7. We use gold instead of commodities because of the possible lack of risk premia and substantial front-running rollover costs associated with commodity index futures (Daskalaki and Skiadopoulos 2011; Mou 2011).
8. Trend-following methods can also reduce negative skew and associated left tail risk (Rulle 2004). Negative skew can be especially problematic when there is leverage. Absolute momentum may reduce or eliminate negative skew.
9. Elimination of Treasury bill holdings in lieu of borrowing would reduce borrowing costs. We have not accounted for this cost saving.
10. See http://mba.tuck.dartmouth.edu/pages/faculty/ken.french/data_library.html.